THERESA RUREDZO
versus
DULY HOLDINGS LIMITED

HIGH COURT OF ZIMBABWE
MUNANGATI - MANONGWA J
HARARE; 14 October 2025

Special Plea

L Mhasho, for the plaintiff
T Chaganda, for the defendant

MUNANGATI - MANONGWA J: The plaintiff has approached this court seeking an order directing the defendant to deliver to her a Ford Everest motor vehicle within a month of the granting of an order of court. She alleges breach of contract by the defendant for failure to give her the motor vehicle as part of her terminal benefits. The plaintiff asserts that this contract was reached following thirty-one years and two months of employment with the defendant, which concluded in November 2017.

Factual Background

The plaintiff, Ms. Theresa Ruredzo, is a retired female adult residing at No. 4 Seventh Avenue, Parktown, Waterfalls, Harare. The defendant, Duly Holdings Limited, is a company registered in Zimbabwe, specializing in the retailing of motor vehicles, and has its registered office at Corner Robert Mugabe Avenue and Third Street, Harare.

The plaintiff commenced her employment as a Clerk Typist and advanced through various positions, ultimately serving as the National Administration Manager. She alleges that upon her retirement, she was not paid her terminal benefits, which included service pay, long service pay, and gift vouchers.

She asserts that, following negotiations, the parties agreed that the plaintiff's terminal benefits would be satisfied by the delivery of a Ford Everest motor vehicle, to be delivered within five years of her retirement.

The defendant, Duly Holdings Limited, responded to the plaintiff's claim by raising a special plea regarding the issue of jurisdiction. The defendant's position is that given the manner in which the plaintiff's claim is articulated, it is the plaintiff's position that the

plaintiff's terminal benefits are to be compensated in kind through the delivery of a Ford Everest motor vehicle. Consequently, this claim constitutes a request for the payment of terminal benefits. In accordance with section 172(2) of the Constitution, in conjunction with section 89(1) of the Labour Act. The defendant thus maintains that this Court lacks jurisdiction to adjudicate this matter. According to the defendant, the relevant provisions designate the Labour Court as the exclusive forum for the resolution of labour disputes. Given the aforegoing, the defendant seeks that the special plea regarding jurisdiction be upheld and that this Court grants an order declining jurisdiction over the matter, with costs.

The defendant also raised issues of prescription, misjoinder, and non-joinder. In light of the critical nature of the jurisdictional issue, it is imperative that the Court first determines the question of jurisdiction before addressing any other matters arising in this case.

Plaintiff's Submissions

Plaintiff insists that the cause of action arises from an agreement between the parties for the payment of terminal benefits in kind, specifically the delivery of a Ford Everest vehicle within five years following the termination of employment. According to the plaintiff, such an agreement falls outside the jurisdiction of the Labour Court as defined under Section 89(1) of the Labour Act [*Chapter 28:01*], as established in *Madinda Ndlovu* v *Highlanders Football Club* HB 95/11. In that case CHEDA J stated that while the legislature intended to restrict the courts from adjudicating labour disputes, an acknowledgment of debt stemming from a contractual agreement does not fall within this restriction.

According to the plaintiff, the reasoning in that case was that, once the parties entered into a contract delineating the obligations of a former employer regarding terminal benefits, this contract ceased to be an employment contract. Consequently, the Labour Court lacks the authority to determine breaches of such contracts.

Plaintiff contended that the dispute regarding the breach of the agreement is not classified as a "dispute" under Section 93 of the Labour Act, which pertains strictly to issues arising within the context of an employment relationship. The definition of a "dispute" within Section 2 of the Labour Act is limited to matters concerning employment governed by the Act, thus excluding relationships that exist after employment has ended.

The plaintiff pointed out that such a position was corroborated by the Supreme Court in *NEC, Construction Industry* v *Zimbabwe Nantong International (Pvt) Ltd* 2018(1) ZLR 16(S) and *CMED (Pvt) Ltd* v *Bande & Ors* 2019(2) ZLR 492(S), which clarified that the statutory definition of a "dispute" requires involvement of an employer and employee during

the employment relationship. The courts affirmed that there was no labour dispute in these cases, highlighting that the Labour Court and its arbitrators cannot extend their jurisdiction beyond what is statutorily granted.

Thus the plaintiff maintained that the Labour Court lacks jurisdiction to adjudicate this matter under Section 89(1) of the Labour Act, and the nature of the dispute aligns more closely with cases involving the recovery of property, such as in *Medical Investments Ltd* v *Pedzisai* 2010(1) ZLR 111(H). He additionally submitted that the Court is not empowered to award delictual damages arising from the employer-employee relationship, as illustrated in *Gwaze* v *NRZ* 2002(1) ZLR 679(S).

Defendant's Submissions

The defendant submitted that the plaintiff's cause of action is predicated on the non-payment of terminal benefits by the defendant. In that regard, Section 172(2) of the Constitution of Zimbabwe, 2013 provides as follows:

> "The Labour Court has such jurisdiction over matters of labour and employment as may be conferred upon it by an Act of Parliament."

Section 89(6) of the Labour Act further stipulates that:

> "No court, other than the Labour Court, shall have jurisdiction in the first instance to hear and determine any application, appeal, or matter referred to in subsection 1."

According to the defendant, the effect of those provisions is to expressly oust the jurisdiction of the High Court concerning labour matters, thereby granting exclusive jurisdiction to the Labour Court in this respect. This legal position it was argued, is corroborated by the case of *Alec Kabichi* v *Minerals Marketing Corporation of Zimbabwe HH 38 – 18*, where the Court determined that:

> "I therefore find that the plaintiff has brought his claim before the wrong court as the Labour Act provides that the Labour Court shall be the exclusive court of first instance to remedy any unfair labour practice. The jurisdiction of the High Court, as a court of first instance in labour matters, is thus ousted by operation of the law [s171(2) and s172(2) of the Constitution as read with s89(6) of the Labour Act]."

Whilst disputing the arrangement, the defendant submitted that, in the present case, although the claim has been framed as one for the delivery of a motor vehicle, it is indisputable that the foundation of such a claim lies within the employment relationship that allegedly existed. The defendant argued that in *Muchenje* v *Mutangadura & Ors* HH 21/21, the Court addressed a similar issue, stating that:

> "What is clear from the applicant's averments is that although he avers that he is seeking an interdict, he is basically challenging the termination of his employment contract by way of notice, a manner which he contends is not provided for in his employment contract and in the General Regulations of the Public Entities Corporate Governance Act. He is contesting the legality of the termination process. He asserts it was unlawful, hence his request for a declaratur that the letter of termination and any processes taken pursuant to the said letter are null and void. I take the view that this is a dispute that relates to the employment relationship between the applicant and the sixth respondent. The dispute is whether or not the applicant's employment contract was lawfully terminated. Such a dispute falls for determination in terms of labour law under the Labour Act and its structures."

Defendant thus contended similarly, for this Court to grant the order sought by the plaintiff, it must ascertain that the plaintiff is entitled to terminal benefits in kind, specifically in the form of the delivery of the motor vehicle claimed. Should such a course be adopted by this court, it would inevitably be adjudicating labour disputes over which the Labour Court possesses exclusive jurisdiction.

In its supplementary heads of argument, defendant submitted that the plaintiff's reliance on the case of *Madinda Ndlovu* v *Highlanders Football Club* HB 95/11 as authority for the assertion that this Court possesses jurisdiction to adjudicate the present matter is misplaced. The defendant submitted that, it is essential to note that the jurisprudential position established in that case, decided in 2011, has since been superseded by subsequent legislative amendments and evolving judicial precedent. The defendant submitted that cognisance must be made that the initial promulgation of the Constitution of Zimbabwe in 2013 introduced Section 172(2), which gave Labour Court jurisdiction over matters of labour and employment as may be conferred upon it by an Act of Parliament. In 2015, the Legislature reinforced the exclusivity of the Labour Court in labour matters through the enactment of Section 89(6) of the Labour Act, which provides:

> "No court, other than the Labour Court, shall have jurisdiction in the first instance to hear and determine any application, appeal, or matter referred to in subsection 1."

It was argued that, it being so the provision became effective in 2016. Consequently, the legal principles articulated in *Madinda Ndlovu* are no longer applicable, given the significant legislative changes that have occurred since that decision. These legislative adjustments according to the defendant, have precipitated a surge in litigation concerning the exclusivity of the Labour Court and reference was made to the Supreme Court decisions which are alleged to have conclusively addressed this issue see *Nhari S* v *Mugabe RG & Gushungo Dairy Holdings (Pvt) Ltd* SC 161/20*, Cainos Chingombe & Others* v *City of Harare & Others* SC 177/20*, and TN Harlequin Luxaire Limited* v *Mberikunashe Masvimbo*

& 14 Others SCB 84/22. It is the defendant's position that all these cases affirm the principle that the Labour Court has exclusive jurisdiction over labour matters, having been determined after both the 2013 Constitution and the enactment of Section 89(6) of the Labour Act. It is the defendant's analysis that issues presented that time before the High Court by the applicants were not framed directly as labour disputes but were nonetheless related to employment, mirroring the circumstances in the present case. The Supreme Court held that regardless of how the claim was articulated in the High Court, its relation to employment matters effectively ousted the jurisdiction of the High Court.

Defendant further submitted that, the issue that requires determination is whether the claim brought by the plaintiff constitutes a labour issue or dispute. According to defendant, the question is readily answered by the plaintiff herself in her declaration, where she asserts that her terminal benefits were to be paid in the form of a motor vehicle. It was contended that despite framing her claim as a contractual entitlement, the plaintiff essentially seeks the payment of her terminal benefits. Defendant further submits that the failure of an employer or former employer to pay terminal benefits is explicitly addressed by the Labour Act. Section 13(1) of the Labour Act which states that:

> "(1) Subject to this Act or any regulations made in terms of this Act, whether any person—
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> (a) is dismissed from his employment or his employment is otherwise terminated;
> (b) resigns from his employment;
> (c) is incapacitated from performing his work;
> (d) dies; he or his estate, as the case may be, shall be entitled to the wages and benefits due to him up to the time of such dismissal, termination, resignation, incapacitation, or death, including benefits with respect to any outstanding vacation and notice period, medical aid, social security, and any pension, and the employer concerned shall pay such entitlements to such person or his estate as soon as reasonably practicable after such event, and failure to do so shall constitute an unfair labour practice."

Defendant submits that, in the present case, assuming, without conceding, that the factual averments by the plaintiff are accurate, it would indicate that the defendant has indeed failed to pay the plaintiff her terminal benefits. By virtue of Section 13(1) of the Labour Act, this failure constitutes a "dispute" manifesting as an unfair labour practice, with the resolution mechanism explicitly delineated in the Labour Act. This dispute resolution framework takes precedence over any other enactment as articulated in Section 2A of the Labour Act.

From the submission, defendant is strongly convinced that plaintiff has initiated the current proceedings in an attempt to circumvent the jurisdictional limitations imposed by

labour law. In that regard, the defendant insists that the plaintiff's assertion of an "agreement" with the defendant seeks to remove the matter from the purview of labour law.

Issue For Determination

In light of the circumstances presented, the issue the court has to decide is whether it has jurisdiction or not.

The essence of the plaintiff's claim arises from an agreement regarding the delivery of a motor vehicle as part of her terminal benefits. The plaintiff asserts that this claim is contractual in nature, rather than a labour dispute, as it pertains to the fulfilment of a specific agreement rather than a violation of employment rights.

The Labour Act provides that the Labour Court has exclusive jurisdiction over matters concerning labour and employment. Section 89(6) expressly states that no court other than the Labour Court shall have jurisdiction to hear and determine any application or matter referred to in subsection 1. However, it is crucial to assess whether the nature of the dispute is indeed a labour matter or a contractual matter.

The terms "contract" and "labour matter" refer to different concepts in legal and employment contexts. A contract is a legally binding agreement between two or more parties. It outlines the terms and conditions of a specific arrangement, such as the duties, rights, and responsibilities of each party. For a contract to be valid, it typically must include: offer, acceptance, consideration (something of value exchanged), legal capacity and legality of purpose. Contracts can be verbal or written.

A labour matter generally refers to issues related to employment relationships, workplace rights, and conditions of work. This can include disputes between employees and employers, union negotiations, workplace safety, and compliance with labour laws.

A contract is a specific agreement, while a labour matter encompasses broader employment-related issues. Contracts are focused on the terms of an agreement, whereas labour matters deal with the rights and obligations of workers and employers. Contracts are generally governed by contract law, while labour matters are subject to labour law and regulations.

Section 172(2) of the Constitution of Zimbabwe, 2013 indicates that the Labour Court has jurisdiction over labour and employment matters as conferred by an Act of Parliament. Section 89(6) of the Labour Act (Chapter 28:01) stipulates that no court, other than the Labour Court, shall have jurisdiction in the first instance to hear and determine any application or matter referred to in subsection 1.

The defendant cites several precedents affirming the exclusive jurisdiction of the Labour Court over employment matters, including *Alec Kabichi* v *Minerals Marketing Corporation of Zimbabwe* HH 38 – 18 and *Muchenje* v *Mutangadura & Ors* HH 21/21. These cases illustrate that claims relating to employment, even if framed in contractual terms, are fundamentally labour disputes.

The plaintiff's claim revolves around an alleged breach of contract concerning her terminal benefits. However, the essence of this claim is intrinsically linked to her status as a former employee of the defendant: the claim arises from the termination of an employment relationship and the obligations therein. As such, it is classified as a labour dispute.

The Labour Act defines a "dispute" as it pertains to the employment relationship. The plaintiff's claim for terminal benefits, including the delivery of a vehicle, falls squarely within this definition. The legislative provisions clearly indicate a policy decision to assign exclusive jurisdiction to the Labour Court for the resolution of employment-related disputes. This reinforces the notion that claims arising from the employment relationship must be adjudicated within the Labour Court framework.

The plaintiff argues that her claim should be treated as a contractual matter, relying on *Madinda Ndlovu* v *Highlanders Football Club* HB 95/11, which suggests that contractual obligations can fall outside the jurisdiction of the Labour Court. However, this assertion does not hold under the scrutiny of the current legislative environment, which has evolved significantly since that decision.

In considering the submissions made by both parties, this court acknowledges that the agreement for the delivery of the Ford Everest motor vehicle is intrinsically linked to the employment relationship between the plaintiff and the defendant. The plaintiff argues that her claim, despite being rooted in her employment history, represents a specific contractual obligation that exceeds typical labour-related issues. However, the court must take into account the prevailing legal standards set forth by the Supreme Court, particularly in the *Nhari* v *Mugabe* case. The judgment in that case underscores that disputes arising from the employment relationship are to be adjudicated solely by the Labour Court, reinforcing the statutory framework established by the Labour Act. It is evident therefore, that the plaintiff’s claim is fundamentally rooted in her employment relationship with the defendant, specifically regarding an agreement concerning her terminal benefits. This aspect brings the claim squarely within the jurisdiction of the Labour Court.

In light of the arguments presented and the legal framework governing this matter, it is the conclusion of this court that the claim brought by the plaintiff, despite its contractual framing, fundamentally relates to the employment relationship and the associated terminal benefits. Hence, the Labour Court possesses exclusive jurisdiction to resolve such disputes, as defined under the Labour Act and supported by constitutional provisions.

Accordingly, it is ordered that:

1. The special plea regarding jurisdiction raised by the defendant is upheld with costs.

MUNANGATI- MANONGWA J: ……

Lovemore Madhuku Lawyers, applicant's legal practitioners
Atherstone & Cook, defendant's legal practitioners